Chapter 3
Period End

Introduction to Fixed Assets Period End

There are a number of period end procedures, which perform operations on all assets or large groups of assets. You establish parameters which control the operations carried out on the assets.

The procedures covered are:

Period Depreciation

Selected depreciation books together with assets having these books combine, according to the rules established, to calculate depreciation for the period. Transactions generated are automatically posted to the General Ledger.

Posting Corrected Transactions

Some generated transactions may fail to be posted to the General Ledger for several reasons. Having corrected the problems, this facility enables you to post to the General Ledger again. You can direct those transactions which are still invalid to suspense accounts.

Provisional Depreciation

Assets can be selected by a variety of parameters and subjected to provisional depreciation calculations for a chosen number of periods. A report is produced, but no postings are made.

Lease Postings

Repayment calculations, distinguishing between capital and interest using established rules , can be carried out for leased assets. The resultant transactions can be posted to the General Ledger.

Period Year End

When all the Fixed Assets maintenance and depreciation activities for the period are complete, you can close the period. The period number is then updated. At the year end close, appropriate year end postings are made automatically.

Close Period / Open Next Period

Before closing a period ensure that the asset register is up to date, with all maintenance for the period completed and all period depreciation calculations carried out.

The period, however, cannot be closed if there are still unposted General Ledger transactions. These must be corrected or posted to GL suspense accounts via the Post Corrected Transactions option.

Select the Close Period / Open Next option. The current Fixed Assets period displays with the next period to be opened.

```
FA419P          F8 - Fixed Assets V3 Company - F8      User FAF8          27:10:95
                                                                          11:23:52
Period Close and Year End

The Current Period is ..... 95/11

The Next Period is ........ 95/12







Press F8 to Close the Current Period and Open the Next Period


F3=Exit    F8=Close Period

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```

Press **F8** to close the period.

The current period on the company profile is increased by 1.

Year End

The year end procedures are triggered automatically when, in the Close Period / Open Next Period procedure, the current period equals the year end period.

The year end period is the financial year end specified on the company profile. This is the period number of the calendar month in which the year ends.

Warning: You must be absolutely sure that you have completed all the Fixed Asset procedures for the current year before embarking on a year end. Once initiated the year end calculations cannot be reversed.

Tip: You are advised to take a back-up of your Fixed Assets files before starting a year end.

Transactions

The following financial transactions are generated:

001 Asset Cost. Debit historic cost, credit asset additions.

003 Disposal Year End Transfer. Debit asset disposals, credit historic cost. Created for each asset disposed of during the year.

323 Depreciation. Debit depreciation this year, credit accumulated depreciation. Created for each book for each asset so that depreciation this year is cleared down and transferred to depreciation prior year.

Leased Assets

For leased assets, the system adds the interest and capital values posted this year to the interest and capital values for the prior year and clears down the current year's values.

039 Lease Interest Year End Transfer

Provisional Depreciation

This feature is only available in the advanced version of the system. It can be used

- To assess depreciation for a period, in advance of running it for real
- To assess depreciation for the next quarter, next year or other selected periods
- For budgeting purposes or in a 'what-if' context in assessing alternative depreciation policies.

A report is produced but no General Ledger postings are made.

Select Provisional Depreciation to display the selection screen.

```
FA417P        F8 - Fixed Assets V3 Company - F8      User FAF8        27/10/95
                                                                      11:15:30
Provisional Depreciation

Select from the options :

  Books...........From.......? ___
                  To.........? ___    Leave blank to process for a single Book

  Periods.........Start.......  ____
                  End.........  ____  Leave blank for single Period processing

  Codes....................... 0      (0=All  1=Exclude  2=Include)
          Analysis type......? ___
      and Analysis code......? _______________

  Type of assets.............. 2      (0=Depreciable assets only
                                       1=Non-depreciable assets only   2=All)
  Print format type........... 0      (0=Detail  1=Summary)
  Consider plan disposal date. 1      (0=No  1=Yes)

F3=Exit   F4=Prompt

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```

Fields:

Books Range

Enter the range of book codes required for this run.

Enter a book code in the From field and leave the To field blank, to run the exercise for just one book.

Periods Range

Enter the range of periods for which the provisional depreciation is required.

Enter the Start period and leave End blank if only one period is required.

Note: If the start period is before the latest period for which depreciation has been calculated, then actual values, rather then re-calculated values, are taken for the earlier periods.

Codes

0 - All assets are to be included

1 - Assets of the analysis type and analysis codes are to be excluded.

2 - Assets of the analysis type and analysis codes are to be included.

Analysis Type

Enter a valid analysis type if the Codes field is 1 or 2. This field can be left blank if code is 0.

Analysis Code

Enter a valid analysis code if the Codes field above is 1 or 2. The field can be left blank if code is 0.

Type Of Assets

0 - For depreciable assets only.

1 - For non-depreciable assets only

2 - For all assets.

Print Format Type

0 - For detail by asset in book / asset sequence

1 - For summaries by each depreciation book.

Consider Plan Disposal Date

0 - The planned disposal date is to be ignored when calculating depreciation.

1 - Depreciation calculations are to cease for any asset after the planned disposal date.

Transactions

For those assets for which lease repayments have been calculated, the following transactions are generated:

035	Interest repayments.
036	Capital repayments

On the completion of processing for each asset, the system:

- Increases the number of payments made by one
- Sets the last payment period to the current period
- Adds interest and capital payments to the year-to-date values.
- If the summary report options was taken, a summary is printed for each book submitted to the run.
- If the detail option was chosen, the figures printed are set against each asset included, within each book selected. A P against a period value indicates that provisional depreciation has been calculated. An A against a period value indicates that actual depreciation has been used. The A and the P indicators are contained and described in the systems reference code PROV.

Press **Enter** to submit the job. Provisional depreciation calculations are carried out and a report is written.

Period Depreciation

Period depreciation can be run at any time during the period and can be run as often as required. The system will only create one depreciation record per asset per book per period. You must of course control which books are linked to financial accounts and which are linked to memorandum accounts in the General Ledger.

There are a number of conditions which must be satisfied before an asset is selected for inclusion in a period depreciation run.

- The asset must not have been disposed of.
- The 'Depreciate' flag on the asset depreciation book must be set to 1.
- The asset book must be within the period depreciation selection that is made.
- The asset must not have already been depreciated and must also be due for depreciation. This is more specifically expressed in the following rules.
- The start depreciation period must be equal to or less than the depreciation period being processed.
- The latest depreciation period must be less than the depreciation period being processed.
- The next depreciation period in the asset record must be equal to or less than the current period. Some assets may be depreciated quarterly or possibly irregularly.
- The number of periods depreciated must be less than the depreciation life of the asset.

Select Period Depreciation to see the Period Depreciation screen.

Period Depreciation Screen

Select Period Depreciation to see the Period Depreciation screen.

```
FA416P          F8 - Fixed Assets V3 Company - F8       User FAF8        27/10/95
                                                                         11:10:12
Period Depreciation

Perform from Book..........? ___    Leave blank to obtain from first

  through to Book..........? ___    Leave blank to obtain to last









F3=Exit    F4=Prompt

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```

Fields:

Perform From Book

Enter the lowest book code from which depreciation is to be undertaken. If both fields are left blank, all books are included in the run.

To Book

Enter the highest book code from which depreciation is undertaken. If both fields are left blank, all books are included in the run.

Press **Enter**. A job is submitted to depreciate the selected books.

<u>First Period Depreciation</u>

For any asset selected for depreciation for the first time, special rules may apply, depending on the values entered in the ‘Initial Deprn’, ‘Start Period’ and ‘Start Date’ fields in Asset Maintenance.

For each selected asset the value to be depreciated is the book value.

This can be modified by:

- Residual value, if the book profile being used has the depreciate on net indicator set to 1.
- External funding, if the book profile being used has the funding adjustments indicator set to 1.

- Cumulative depreciation, if the asset book being used employs any of the reducing balance depreciation methods.

Transactions

325 Created for each depreciation record produced.

Press **Enter**

Lease Postings

Repayment transactions for leased assets can be generated using the rules set up within each asset. Repayment is apportioned between capital and interest and the resulting transactions can be posted to the General Ledger.

Asset Selection

Assets are selected for posting if:

- the asset is a leased asset, i.e. has a leased details record
- the asset has not been disposed of
- the ‘Postings Required’ field on the Lease Details screen within the Asset Maintenance option is set on.
- the start period is not greater then the current period.
- the number of periods for which lease postings have been made is less than the total number of payments to be made (i.e. less than the life of the lease).

Select Lease Postings to see the Lease Postings screen.

```
FA410P          F0 - Fixed Assets V3 Company - F0       User FAF0         27/10/95
                                                                          11:10:56
Lease Postings

Perform from Cost Book.....? ___    Leave blank to obtain from first

  through to Cost Book.....? ___    Leave blank to obtain to last









F3=Exit    F4=Prompt

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```

Fields:

Perform From Cost Book

Enter the lowest cost book code to be included in this book run. Leave both fields blank if all cost books are to be included.

To Cost Book

Enter the highest cost book code to be included in this run.

Leave both fields blank if all cost books are to be included.

Press **Enter** to submit the run.

Calculations

Interest repayable is calculated using the 'sum of digits' method where interest payments are heaviest at the start of the lease.

For a 36 month lease with a total interest of 12,000, the sum of the digits of the periods of the lease is 1+2+3 etc. 35+36=666. Thus the interest payable each month is:

1    $36 / 666 \times 12{,}000 = 648.65$

2    $35 / 666 \times 12{,}000 = 630.63$

3    $34 / 666 \times 12{,}000 = 612.61$

..

..

35    $2 / 666 \times 12{,}000 = 36.04$

36    $1 / 666 \times 12{,}000 = 18.02$

Transactions

For assets for which lease repayments have been calculated, transactions 035 - interest payment, and 036 - capital repayment are generated. On completion of processing for each asset, the system

- increases the number of payments made by one
- sets the last payment period to the current period
- adds interest and capital payments to the year-to-date values.

The lease posting procedure can be run as often as is required. Postings for a given lease asset are made only once in a period.

Post Corrected Transactions

There are two major categories of transactions that are not posted to the General Ledger.

- Those that are not posted because of conditions set up within Fixed Assets.
- Those that are intended to be posted to the General Ledger but which fail because of conditions within General Ledger.

Fixed Assets Conditions

The application must be linked through the company profile to the General Ledger.

Each book profile that should be linked to the GL must have the relevant indicator appropriately set (i.e. financial or memorandum).

The structured GL accounts for each connected book must have been set up correctly, that is linking financial transactions to be posted to appropriate GL accounts.

The analysis codes from which the GL account is built, must be correctly set up on the asset record.

If the company profile is not linked to the GL or any of the book profiles are not linked it is likely that you do not intend to post transactions to the General Ledger.

Note: Even if the company profile is not linked to the General Ledger, the other conditions for generating accounts could be set up so that you can create a manual link between Fixed Assets and the General Ledger and post general journals.

The likeliest mistakes resulting in non-postings arise from

- incorrect creation of analysis codes, either on the systems reference files or on the asset
- failure to create the structured GL account.

General Ledger Conditions

Analysis codes that are generated from the structured GL account procedure must of course exist as part of a General Ledger account. A new location implies amendments to:

- ANTY - Analysis codes
- Structured GL accounts
- Hierarchy records
- Asset records
- General Ledger accounts

Select Post Corrected Transactions to see the General Ledger Error Posting screen.

```
FA428P          F8 - Fixed Assets V3 Company - F8       User FAF8        27/10/95
                                                                         11:15:00
General Ledger Error Posting

Perform from Session ...... _______   Leave blank to obtain from first

  through to Session ...... _______   Leave blank to obtain to last

Post to suspense accounts . 1         (0=No, 1=Yes)









F3=Exit

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```

Fields:

Perform From Session

Enter the first session number which has corrected postings.

Leave the field blank to start from the first.

Through To Session

Enter the last session number which has corrected postings.

Leave the field blank to continue to the last.

Post To Suspense Accounts

1 - If ‘corrected’ transactions are still incorrect from the point of view of the exact GL accounts they should update, they can be posted to the debit and credit suspense accounts set up in each book profile.

0 - If incorrect postings are to remain incorrect.

Note: The latter can then be investigated and posted by GL journal.

Press **Enter** to submit the job to correct the postings.

Asset Movements

This report shows the asset cost, depreciation and any transfer made. A transfer means that an asset has been moved between two GL accounts, and it will appear under separate headings on this report if sequenced by account. The transfer itself is done by changing the analysis codes for the asset using the Asset Maintenance option.

Select the Assets Movement (Period End) to see the selection screen.

```
FA740P          Z1 - GB Demonstration Company        USER CUSTSERV   13/11/96
                                                                     14:40:20
Asset Movement

Cost Book..........? ___
Depreciation Book..? ___  (Blank=all attached depreciation books)

Period from........ 0000
Period to.......... 0000

Report selection.... 1 (1=GL account 2=Analysis Type 3=Acq. Year)
Summary or Detail... 1 (0/1)

Further Report Content Selections:

    Disposed of............ 2 (0=Include 1=Asset Disposals only 2=Exclude)
    Leased Assets.......... 0 (0=Include 1=Leased Assets only   2=Exclude)




F3=Exit    F4=Prompt

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```

Fields:

Cost Book

Enter the book to be included in the report.

Depreciation Book

Enter the depreciation book to be included in the report. Leave this field blank to include all depreciation books related to the selected cost book.

Period Range

Enter the range of periods (format YYPP) to be included in the report.

Report Selection

You can sequence the report according to:

1 - GL account

2 - Analysis type

3 - Acquisition year

Summary Or Detail

0 - Produce a summary report.

1 - Produce a detailed report.

Disposed Of

0 - Include

1 - Asset disposals only

2 - Exclude

Leased Assets

0 - Include

1 - Leased Assets only

2 - Exclude

Press **Enter** to submit a job to produce a report.

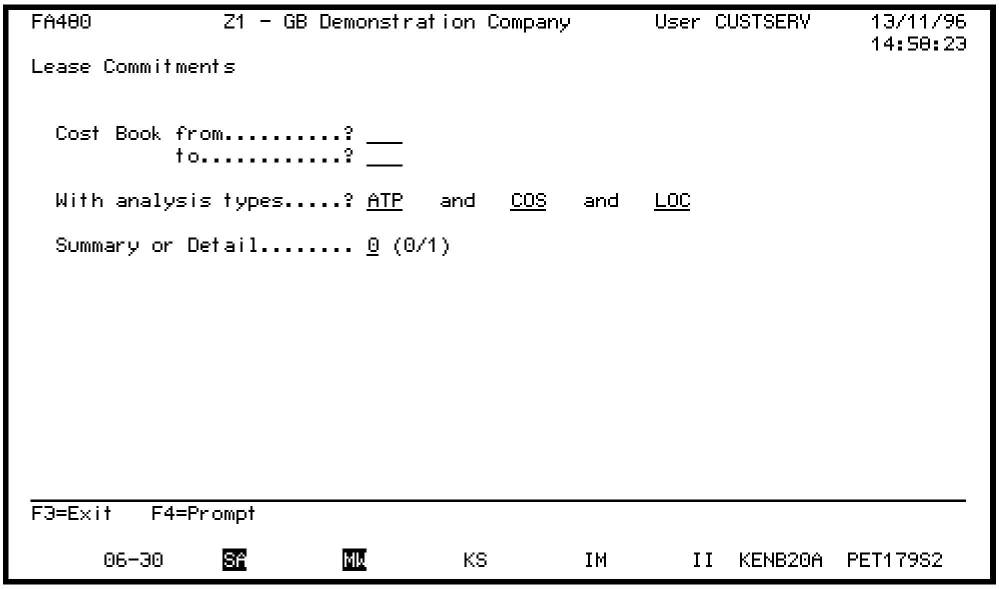
Lease Commitments

This report tells you how much capital and how much lease remains on the asset. It is in full conformance with SSAP21 requirements, in that the outstanding capital obligations reported under finance leases are placed within three categories:

- due within one year
- due within two to five years
- due after five years

You can produce:

- A summary report printing totals by book and analysis type (if entered).
- A detailed report listing all the assets within each book.



```
FA480          Z1 - GB Demonstration Company      User CUSTSERV     13/11/96
                                                                    14:50:23
Lease Commitments

  Cost Book from..........? ___
            to............? ___

  With analysis types.....? ATP   and   COS   and   LOC

  Summary or Detail........ 0 (0/1)

F3=Exit   F4=Prompt

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```

Fields:

Cost Book Range

Enter the range of cost books required.

Leave both fields blank to select all cost books.

With Analysis Types

If you wish to sequence your report by analysis type, enter that type in the first field. You can enter up to three analysis types for sequencing purposes.

Totals will be given for each analysis type.

If you leave these fields blank, the report will be sequenced by asset type.

Summary Or Detail

0 - Produce a summary report printing totals by book and analysis type (if entered).

1 - Print a detailed report listing all the assets within each book.

Press **Enter** to submit a job to produce the report.

Calculation

Interest repayable is calculated using the 'sum of digits' method whereby interest payments are heaviest at the start of the lease period.

If a lease is agreed for 36 months with a total interest payable of 12,000, the sum of the digits of the periods of the lease is 1+2+3 etc. 35+36=666.

Thus the interest payable each month is

1	36 / 666 × 12,000=648.65
2	35 / 666 × 12,000=630.63
3	34 / 666 × 12,000=612.61
..	
..	
35	2 / 666 × 12,000=36.04
36	1 / 666 × 12,000=18.02